

GNIOT Institute of Management Studies – PGDM (Batch 2022-24)**(TRIMESTER –IV) END TERM EXAMINATION, OCTOBER-2023****Financial Planning and Wealth Management****[Time: 2 Hours 30 Minutes]****[Maximum Marks: 70]**[**BL** – Bloom's Taxonomy Levels (1- Remembering, 2- Understanding, 3 – Applying, 4 – Analysing, 5 – Evaluating, 6 - Creating)][**CO** – Course Outcomes]**Following are the course outcomes of the subject: - Financial Planning and Wealth Management**

CO	Course Outcome (CO)
CO1	Assess the personal financial planning process, the life cycle of financial plans, and methods of goal achievement.
CO2	Formulate a budget, tax planning strategy based on current financial goals.
CO3	Establish a plan to effectively avoid credit problems protect yourself against credit card fraud, property insurance policies to identify the best policies for your needs at the lowest cost.

(Note- Faculty can add the more CO's as per their subject.)**SECTION-A****Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)**

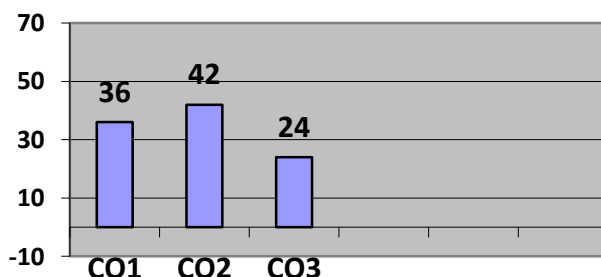
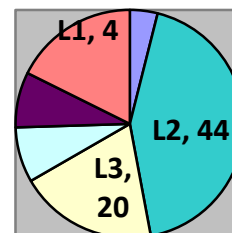
Q.1	Marks	CO	BL
A	4	CO – 1	L - 1
B	4	CO – 3	L –2
C	4	CO – 2	L –2
D	4	CO – 3	L –2
E	4	CO – 2	L – 3

SECTION-B**Attempt any 3 questions out of the following: (Long Answer Type Questions)**

Q. No	Marks	CO	BL
2 (A)	8	CO – 1	L -2
2 (A)	8	CO – 1	L -2
2 (B)	8	CO – 1	L -2
2 (B)	8	CO – 1	L -2
3 (A)	8	CO – 2	L -3
3 (A)	8	CO – 2	L -3
3 (B)	8	CO – 3	L -4
3 (B)	8	CO -3	L -5

SECTION-C**Attempt all parts of the following: (Caselet / Numerical)**

Question	Marks	CO	BL
4 (A)	9	CO – 2	L – 6
4 (B)	9	CO - 2	L - 6

Course Outcome Wise Marks Distribution**L1 L2 L3****Bloom's Level wise Marks Distribution**

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GNIOT Institute of Management Studies – PGDM (Batch 2022-24)

(TRIMESTER – IV) END TERM EXAMINATION, OCTOBER - 2023

Financial Planning and Wealth Management

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 70]

INSTRUCTIONS:

- (i) There are **THREE** sections in this question paper.
- (ii) Attempt questions from each section as per the directions.
- (iii) Make suitable assumptions wherever necessary.

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Explain why one should go for health insurance.
- (b) Differentiate between debit card and credit card.
- (c) Define SIP. What are its advantages?
- (d) How demat accounts have transformed the process of investing? Write a short note on Demat Accounts.
- (e) Post office Saving Schemes offer safety and income tax benefits. Do you advise to invest?

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(4×8=32)

- (a) “Financial literacy, as a life skill, it to be imparted by every individual for management of their personal finances”. Comment and discuss.

OR

- (a) “Financial planning is the process of estimating financial needs of a person and to implement a comprehensive plan to meet those financial needs during his or her lifetime”. In this context explain the financial planning process.
- (b) What do you mean by asset allocation? Suggest to Mr. X (aged 35) and to Mr. Y (aged 55) for proper asset allocation with their advantages and limitations.

OR

- (b) 4 While choosing investment alternatives or avenues which factors are important to consider before making investment.

Q.3.

- (a) What are the different types of risks associated with security market? And how these risks can be mitigated?

OR

- (a) “A mutual fund pools in money from many investors and invests the money in stocks, bonds, money market and commodities”. In this context define mutual fund and mention the features.
- (b) 9 “Insurance is a form of risk management, primarily used to manage the risk of an uncertain future loss”. Elaborate and discuss the various types of insurance policies.

OR

- (b) Discuss the various characteristics of Saving bank account, Recurring deposit account and Fixed deposit account.

SECTION-C

Q.4. Attempt all parts of the following:

(2×9=18)

4(a) Mr. Young, aged around 25 years, a software engineer for the past 3 years. Working in an MNC IT company. His present earning is around Rs. 6 lacs p.a. He is presently able to save around 20% of his income. His parents are not dependent on him. He married last year. His wife is home maker and as they are planning for the first child, do not plan to join a job. He plans to buy a car in next 2 years, for which he has to save Rs. 1 lac towards margin. He is happy with his present job and expects an increase in salary of 20% annually in the next 3 years. He has a credit card and has never defaulted or taken a loan against it. He has a educational loan being repaid over next 3 years carrying an EMI of Rs. 50000 p.a. In the medium term, he is confident of reaching all his goals and hope his financial situation to be reasonably good.

1. Determine the risk profile of Mr. Young
2. Being a financial advisor to Mr. Young, fix goals for his family and how to reach them?
3. In best of your knowledge what points to be considered by Mr. Young before investing.

4(b) Mr. Ram working as a Chief General Manager, in a leading private sector company and is retiring in next 6 years. He has a highly educated son, aged about 30 years and working for a MNC. He has a daughter to be married in next 1 or 2 years. His wife is a home maker. His present savings are close to 50 lacs, 70 % of which is invested in equity and rest in debt schemes. He has only a car loan outstanding of Rs. 5 lacs, to be repaid in next 2 years. After retirement, he will not receive any pension from the company.

1. Determine the risk profile of Mr. Ram.
2. Being a financial advisor to Mr. Ram, fix goals for Mr. Ram and his family and how to reach them?
3. in best of your knowledge what points to be considered by Mr. Ram before investing.